

SALE OF AN AMERICAN DREAM?

The **purchase of EA** added another feather to the cap of the Saudis, who have, over the last few years, become the world's biggest player in video games and esports.

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Journalism, primarily the written press, owes a debt to the Gutenberg press, a machine that transformed how information is consumed.

In the context of video games and later eSports, Electronic Arts (EA) comes the closest to it.

Founded in 1982 by former Apple employee Trip Hawkins, the California-based company became a household name among video game enthusiasts.

Be it adventure (Need for Speed, Harry Potter series), sports (EA Cricket, FIFA, NBA, and NFL), or simulations (The Sims, Battlefield), Electronic Arts had something for everyone; "EA Sports, it's in the game" almost became an anthem.

In September 2025, however, this American dream of gaming was sold for USD 55 billion, the biggest-ever leveraged private payout, to a consortium of Saudi Arabia's Public Investment Fund (PIF), Silver Lake, and Affinity Partners.

SAUDI ARABIA - A GAMING MEGALODON

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In March 2023, PIF's subsidiary, Savvy Games, purchased Scopely Inc., the maker of Monopoly, for USD 4.9 billion. Two years later, it acquired the gaming division of Niantic—the company that runs and manages Pokémon Go—for USD 3.5 billion.

It is also a stakeholder (7.54 per cent) in Japanese gaming giant Nintendo, the company that made Mario.

The acquisition of EA tops them all, first for the value involved, and second for the size of its player base. Its football title, now called EA FC, has sold 325 million copies since the first release in 1993, The Sims, over 200 million

copies, and Need For Speed, over 150 million.

In the esports scene, Saudi Arabia has organised two consecutive editions of the Esports World Cups—in 2024 and 2025—and is expected to host the 2027 Olympic Esports Games.

EXPECTED DECLINE AND AN UNCERTAIN FUTURE

EA, unlike its legacy of offline games, ventured into online gaming management and microtransactions in the last decade, a move that had the countereffect of growth through eroding labour practices amid increasing consumer demands.

It was voted the worst company in the USA twice, in 2012 and 2013, and laid off close to 2000 employees in the last three years: a clear indicator of its falling revenues and reputation.

An offer of a whopping USD 55 billion in such a scenario might have been its best way out of the quagmire. But there's a caveat to this—acquisitions are always tricky, and few would know it better than EA.

EA acquired Pandemic Studios—the developer of the shooting game Star Wars: Battlefront—in 2005 and shut it down two years later.

Similar was the tale with Bullfrog Productions—which sold four million copies of its first Populous series, was acquired in 1995, and shut down in 2001—and Westwood Studios—a real-time strategy game developer with 30 million sales of its Command & Conquer series—which was bought by EA in 1998 and announced defunct five years later.

With new owners, EA will now hope history doesn't come back to bite it: becoming a relic in the form of gaming's Gutenberg press instead of leading the market in new robes.